

ORDERS

The decree holder society represented by its General Manager has filed the present petition for execution of the decree in O.S.No.933/2021. The decree holder is the plaintiff and the judgment debtors are the defendants in the said suit. The suit filed by the decree holder society came to be decreed by directing the defendants to surrender vacant possession of the suit schedule property and also to pay arrears of rent of Rs.10,01,540/- with interest at 10% p.a. from the date of Judgment.

2. In furtherance of the aforesaid decree, the decree holder has filed the present execution petition for recovery of arrears of rent and delivery of possession of the decree schedule property. The judgment debtors entered appearance and filed statement of objection by contending that the decree is not executable. The decree schedule property was used for non-residential commercial purpose on monthly rent of Rs.15,000/- and the decree holder has received advance of Rs.8 lakhs. The decree holder has claimed Rs.6,14,800/- and the dispute is commercial in nature. Therefore, the pecuniary jurisdiction of this Court is ousted by virtue of the provisions of the Commercial Court Act. Therefore, they prayed for rejection of the petition.

3. The argument addressed on behalf of the decree holder is that, the intention of the judgment debtors is to protract the proceedings. They have not raised the objection regarding jurisdiction in the original suit. They have not preferred any appeal against the Judgment and Decree under execution. For these reasons prayed for rejection of the contention of the judgment debtors.

4. The decree schedule premises is a non-residential commercial premises, is not in dispute. The decree schedule property is godown situated at APMC Yard, Yeshwanthpur. The learned counsel for the judgment debtors has referred Section 2(1)(vii) of the Commercial Court Act, 2015. As per the said provision, unless the context otherwise requires commercial dispute means, dispute arising out of agreements relating to immovable property used exclusively in trade or commerce. In the case on hand the decree schedule premises is a commercial premise is not undisputed. The judgment debtors have appeared in the original proceedings. Whether the issue regarding jurisdiction of the Civil Court has been raised in the said proceeding is not made out from any of the documents.

6. The learned counsel for the decree holder has relied on the Judgment reported in **[2020] 15 Supreme Court Cases 585** in the case of Ambalal Sarabhai Enterprises Limited Vs. K.S.Infraspac LLP and another. In para No.37 the Hon'ble Apex Court held that, a dispute relating to immovable property per se may not be a commercial dispute, but if it falls under Section 2(1)(c)(vii), the agreement relating to

immovable property used exclusively in trade and commerce becomes a commercial dispute. As per the facts of the said Judgment, the premises was not exclusively used in trade or commerce. However in the case on hand the decree schedule premises was used for trade and commerce. The ratio of the aforesaid Judgment is applicable in support of the case of judgment debtor.

7. As per Section 47 of the C.P.C., all questions arising between the parties to the suit in which the decree was passed relating to the execution shall be determined by the Court executing the decree. Therefore, whether the Court has got jurisdiction to execute the decree can be decided by this Court. After considering the facts of the case, this Court is of the opinion that the court which passed the decree was not having jurisdiction to grant the decree. The decree holders ought to have filed the suit before the Commercial Court. Hence, proceed to pass the following :

ORDER

Objection filed by the judgment debtors is allowed. The decree is not executable before this Court. Hence,

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petition is closed. All pending interim applications stand disposed off.

(Lakshminarayana Bhat.K),
XLII ACC&S Judge,
C/C of XXIX ACC&S Judge, Bengaluru City.